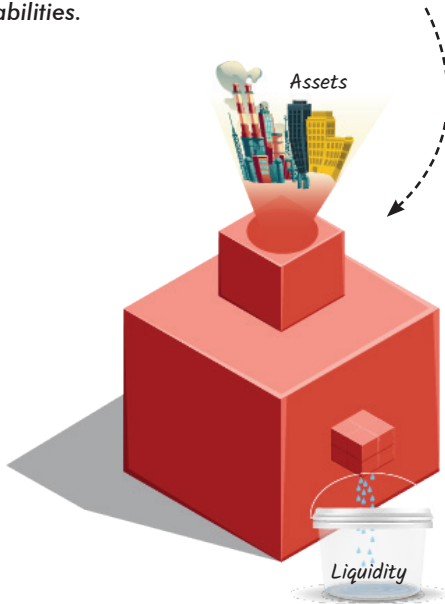


f.

Availability of resources for repayment and asset-liability mismatch

Even if a company has a lot of assets, do they have enough liquid resources to repay short term debt? *This may happen if the company cannot liquidate the assets on time to pay its liabilities.*



EXAMPLE

A company does not produce a lot of free cash flow or EBIT. However, it has a lot of assets. The company can always repay the loan using these assets, even without a high FCF.

First, do they have enough assets to repay all its debt and if so, can they liquidate it in time?